

When my friend Hari joined the workforce, he was keen on settling his college debt first and racked up credit card debt without realizing the consequences. When the people who joined with him explained that he was dealing with it in the wrong way, he'd rarely see beyond his reasons. Besides racking up some debt, he'd also never invest and preferred to rely on the EPF provided by his company alone. The education loan was taken at a simple interest of 7.5% while EPF compounded ^[5] at 8%. He'd settle the student debt with chunks out of his salary and didn't invest more because he felt uneasy having debt on his mind. Finally, it took him a year, to admit that he could have done things better.

An effective remedy is to have an open mind. *Duh, Pranav I knew that. Anything else you have up your sleeve?* Oh well, maybe this would help: *“Better to remain silent and be thought a fool than to speak out and remove all doubt”* - Abraham Lincoln

Some of the little babies of this cognitive bias are:

- **Denial:** *“This one time isn't too bad”* despite racking up credit card debt.
- **Bargaining:** with ourselves that we'll set up a stringent week to compensate splurging right now.

2. Bandwagon Effect or Herd Mentality

My friend Barath bought a car within 18 months of joining the workforce. *“Why not save up a little more and buy a used car after a year?”* was posed by me and his father. *“Everyone buys a new car with EMI's. Who waits that long? Anyway, do you have anything for a down-payment?”* was the reply that he shot back. This is bandwagon effect in full glory. Without thinking through, we make decisions on the spur because people around us do the same.

The cure: The easy way to clear out this bias is to research all outcomes of the purchase (emotional, material and financial) and make a learned decision that suits your needs.

3. Anchoring Bias